that a market for fuel was in place and generation plants would be able to buy fuel. The last step should have been to reform electricity generation.

In the Indian experience, we set about creating a new private industry of electricity generation, without having solved the problems of distribution or of fuel. Very large amounts of capital are blocked in new-age generation plants, which are stranded with the lack of fuel and/or the lack of financially sound buyers for their electricity.

With the benefit of hindsight, we see a simple failure of sequencing in the reforms of this sector. Problems in distribution and the energy sector should have been addressed before or at least in conjunction with generation reforms. [1]

Example 42: Float the exchange rate before trade reforms

Exchange rate reforms should come prior to trade reforms. This involves removing administrative barriers to the exchange rate, and getting up to a floating exchange rate. This gives a continuously self-adjusting price which counteracts changes in competitiveness.

Once this is done, and the local economy is opened up, there will be continuous adjustment of imports and exports in response to changes in the exchange rate. The exchange rate will be a shock absorber which will move in response to the short-term and long-term consequences of trade reforms.

Example 43: Finance comes first

As economist Joshua Felman says, if a great earthquake destroyed Mumbai, the first thing that we require is the financial firms, as they will provide the capital for rebuilding the rest of the city. A capable financial system is the primordial requirement of the market economy.